

Utilities

Requisition Approval Overview

PROCUREMENT GUIDE

What a requisition is, who approves it, typical thresholds, and best practices

What Is a Requisition?

Utilities — Requisition Approval Overview



Definition

A utility purchase requisition documents the need for materials, parts, or contracted services to maintain safe, reliable service, and starts review by operations, procurement, and finance before a purchase order is issued.

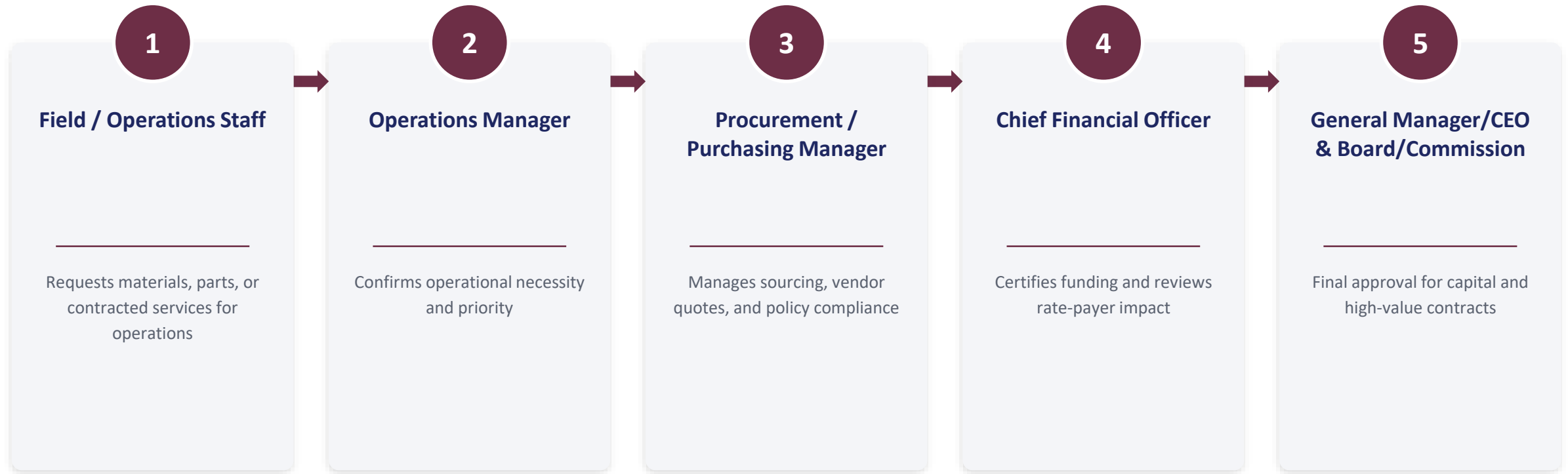
Why Approval Matters

- Supports uninterrupted, safe utility service (water, power, gas)
- Protects rate-payer funds and supports rate-case transparency
- Ensures compliance with public utility commission requirements
- Documents competitive procurement for audit purposes

Approval Hierarchy



Who reviews and approves a requisition, step by step



Structure reflects common practice within Utilities; exact dollar thresholds are set by local policy.

Roles & Responsibilities



What each approver actually checks before signing off

Field / Operations Staff

- Requests materials, parts, or contracted services
- Documents the operational reason for the request

Operations Manager

- Confirms operational necessity and urgency
- Sets priority within the maintenance/operations plan

Procurement / Purchasing Manager

- Manages vendor sourcing and quotes
- Confirms policy and specification compliance

Chief Financial Officer

- Certifies funding availability
- Reviews rate-payer and rate-base impact

General Manager/CEO & Board/Commission

- Gives final approval for capital projects
- Authorizes high-value or long-term contracts



Typical Approval Thresholds

Illustrative dollar tiers seen in Utilities purchasing policies

1

Routine operational supplies are often approved by the Operations Manager within a set limit

2

Mid-size purchases typically require Procurement Manager and CFO review

3

Capital projects and major contracts usually need General Manager approval

4

Large capital expenditures often require Board or Utility Commission authorization

These figures are illustrative examples drawn from public purchasing policies, not a universal standard — always confirm the current thresholds in your own adopted policy.



Best Practices & Common Challenges

Lessons learned from running requisition approvals at scale

Best Practices

- Maintain a capital-vs-operating expenditure approval matrix
- Require competitive quotes above defined dollar tiers
- Track vendor performance for critical infrastructure suppliers
- Align major capital approvals with the utility's rate case and budget cycle

Common Challenges

- Emergency outage repairs require rapid, sometimes after-the-fact, approval
- Capital projects can span multiple budget or rate-case cycles
- Regulatory reporting adds documentation requirements
- Long-lead-time equipment (transformers, pipe, etc.) requires advance planning

Key Takeaways

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1 Utility procurement balances rapid response for outages with rigorous review for capital spend

2 CFO and Board/Commission oversight protects rate-payer interests

3 The Procurement Manager is the compliance and sourcing checkpoint

4 Emergency procedures should be clearly defined in policy